

essentially practicing the same method, but it's spread out over the course of an entire year instead of all at once.

JUST TO CLARIFY:

Principal Payment: Any payment that is made above and beyond your normal mortgage payment. It goes directly towards the amount owed on your home, not interest.

2. KNOCK OUT PMI

Private Mortgage Insurance might not seem like much tacked on to your monthly payment, but it's still money you could be saving. Not quite sure you have PMI? Check with the bank where your loan is held, and they'll tell you the exact amount. But if you didn't have 20% to put down on your loan, you're probably paying it.

Making extra payments is one step closer to getting your PMI removed, and should be a huge incentive to work even harder. Once the PMI is gone, you could pay anywhere from \$50-\$100 less on your mortgage every month.

However, don't expect banks to keep track of this for you—I've heard stories of homeowners paying more PMI than they had to because they didn't stay on top of it. So keep track, and call your bank when you reach that 20% equity mark. I have a scrap piece of paper attached to my amortization schedule to remind me every time I make a payment.

3. CONSIDER REFINANCING

When interest rates are low, you may want to consider refinancing your home. Refinancing is just a fancy way of saying you get a brand new loan that pays off your old mortgage at a lower interest rate.

To do this, you *do* have to go through another round of closing costs, which could range anywhere between \$3,000-\$5,000, but this will ultimately reduce your monthly payment. Depending on how long you stay in the home, it could be worth the upfront cost.